



2024 Investment Management Services Request for Proposals (RFP)

Introduction

The Community Foundation of South Puget Sound is seeking an investment management firm to provide professional investment management services. The investment management firm will implement an investment strategy that aligns with the Foundation's mission and values while maximizing returns to support the Foundation's charitable giving activities. The RFP process is something the Community Foundation does periodically as a part of its due diligence and is, therefore, not presumptive of a problem.

About the Community Foundation

The Community Foundation of South Puget Sound is a community foundation focused on inspiring philanthropy and putting charitable dollars to work for the benefit of people in Thurston, Mason, and Lewis Counties. Since its founding in 1989, the Community Foundation has grown to steward more than \$35 million in charitable assets and has awarded more than \$21 million in grants and scholarships.

We approach our work with a long-term time horizon. Our values of community engagement; [diversity, equity, & inclusion](#); impact; and integrity are at the core of how we go about our work and what make our vision possible. Read more about us on our website at www.thecommunityfoundation.com and our [2022 Annual Report](#).

The majority of the Community Foundation's invested assets are in its long-term endowment pool. Smaller amounts are invested in a long-term ESG pool, a conservative balanced pool, and a short-term investment pool.

Scope of Services

The selected investment management firm will be responsible for providing the following services:

Investment Policy Guidance:

The investment management firm will work with the Foundation to update and implement the existing investment policy to align with the Foundation's mission and values. The firm will provide guidance on best practices for investment policy management, including procedures for policy updates and implementation.

Asset Allocation Modeling and Implementation:

The investment management firm will develop an asset allocation strategy that meets the Foundation's investment objectives, risk tolerance, and liquidity needs. The firm will implement the asset allocation strategy in the Foundation's investment portfolio.



Investment Selection and Monitoring:

The investment management firm will conduct due diligence on investment managers, select appropriate investment managers, and monitor the investment managers' performance. The firm will also evaluate and recommend both active and passive investment strategies *in accordance with the investment policy*.

Portfolio Management and Rebalancing:

The investment management firm will actively manage the Foundation's investment portfolio, rebalance the portfolio periodically, and adjust the asset allocation strategy as necessary.

Performance Measurement and Reporting:

The investment management firm will provide regular performance reports to the Foundation, including investment returns, portfolio composition, and benchmark comparisons.

Risk Management and Analysis:

The investment management firm will conduct stress testing and scenario analysis to evaluate the potential impact of market events on the Foundation's investment portfolio. The firm will also provide ongoing risk management advice.

Organizational Support:

The investment management firm will provide support and education to the Foundation's CEO, Finance Committee, and Board of Directors. The firm will also attend Finance Committee meetings as requested. The firm may occasionally provide donor education events on investment-related matters.

Custodial Services:

The investment management firm will provide custodial services, including safekeeping of assets, transaction processing, and record-keeping.

Environmental, Social, and Governance (ESG) Analysis and Reporting:

The investment management firm will conduct ESG analysis on the Foundation's investment portfolio and provide regular ESG reports to the Foundation.

Proposal Guidelines:

Investment management firms interested in providing investment management services to the Community Foundation of South Puget Sound should submit a proposal that includes the following information:

- Overview of the investment management firm, including company history, size, and ownership structure
- Description of the firm's investment philosophy and approach to managing client portfolios
- Investment strategy proposal tailored to the Community Foundation's specific needs and goals



- Team structure and qualifications, including relevant experience working with nonprofit organizations
- Location of headquarters and details on the firm's presence in the Community Foundation's geographic region (Lewis, Mason, and Thurston County, WA), including the availability of local staff
- Description of the firm's philanthropic philosophy and how it translates to our local area / geographic region
- Information about the investment management firm's commitment to diversity, equity, and inclusion
- Total assets under management and number of similarly sized institutional accounts under management
- Performance track record, including historical returns and risk management from similarly allocated portfolios
- Description of the firm's ESG analysis and reporting capabilities, and how the firm can support the Foundation in exploring impact investing as part of its portfolio
- Description of the firm's custodial services, including safekeeping of assets and transaction processing
- Process for moving assets to/from the firm
- Fee structure and pricing for investment management services
- Reporting and communication protocols, including frequency and format of performance reports and communication with the Community Foundation's finance committee
- References from other nonprofit clients or similar organizations that the firm has worked with in the past

Proposal Timeline:

Proposals must be submitted no later than **Friday, September 8, 2024, at 5:00 pm**. The Community Foundation will evaluate proposals and select a shortlist of investment management firms to participate in interviews. These interviews will be held Monday, October 16, 2024, 11:00 am - 1:30 pm. The Community Foundation expects to make a final decision and notify the selected investment management firm before year end.

Contact Information:

Please submit proposals electronically to finance@thecommunityfoundation.com.

If you have any questions about this RFP, please contact Susan Adams, Finance & Operations Officer, at finance@thecommunityfoundation.com. Questions will be taken until Friday, August 11, 2024, at 5:00 pm. Answers will be published Friday, August 18, 2024, no later than 5:00 pm.

Community Foundation of South Puget Sound
Investment Policy and Objectives

INTRODUCTION

This statement is issued by the Financial Management Committee (“the Committee”) of the Board of Directors (“the Board”) of the Community Foundation of South Puget Sound (“the Foundation”).

The purpose of this statement is to foster a clear understanding of the Foundation’s investment objectives, policies and guidelines among the Committee, the staff, the investment consultant and the Foundation’s investment managers.

This policy covers all financial assets of the Foundation that have been entrusted to the Committee for investment. The Foundation’s Board of Directors may elect to retain certain of the Foundation’s funds, that may be the subject of short-term cash needs of the Foundation for operating expenses, or agency funds that may be recalled from the Foundation on demand by the agency. Generally, these retained funds will be maintained by the Foundation in bank accounts, money market accounts, short term certificates of deposit or similar cash equivalents, and are not subject to this statement of Investment Objectives and Policies.

The Committee will regularly review this statement and each investment manager’s adherence to it. It is the intent of this statement to be both sufficiently specific to be meaningful and flexible enough to be practical.

I. GENERAL INFORMATION

The Foundation is a nonprofit grant making foundation benefiting a wide variety of community-based nonprofit organizations throughout Thurston, Mason, and Lewis counties. The Board of Directors of the Foundation views certain of the assets held by the Foundation as endowment funds designed for long-term purposes. The Board of Directors is also cognizant of the Foundation’s central philanthropic purpose, which is to be consistently responsive to the current and changing human needs of Thurston, Mason, and Lewis counties.

The Committee is charged with the responsibility of investing the Foundation’s assets. Its primary responsibilities are selection of investment advisors and/or managers and monitoring of investment performance. The Committee is responsible for quarterly reports to the Board of Directors on investment matters including the acquisition, disposition, administration, and management of the investments of the Foundation. The Committee is composed of Board members and other community experts invited by the Board of Directors.

The Committee may employ any number of investment managers it deems appropriate for the management of the Foundation’s investments. The Committee may also use investment advisors to aid in the management selection. In retaining these advisors, the Committee will be cognizant of any potential conflicts of interest.

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II. MANAGEMENT AND INVESTMENT OBJECTIVES

Investment Objectives

The Foundation will employ a total return investment policy with the objective of preserving the endowment's capital, protecting the purchasing power of the funds, and providing cash flows to assist in the funding of the Foundation's grant making goals (see spending policy detailed below). With these objectives in mind, the Foundation will have the following long-term risk and return objectives:

Return: The return objective for the total fund will be to outperform the custom benchmark made up over a complete market cycle of 3-5 years. The total fund is also expected to perform above the median of an appropriate eleemosynary universe.

Risk: The total portfolio should experience less risk as measured by the standard deviation than that of the custom benchmark over a complete market cycle of 3-5 years.

The custom benchmark for the total fund will comprise 34% S&P 500 Index, 8% Russell 2000 Index, 12% MSCI EAFE Index, 3% MSCI Emerging Markets Index, 10% Wilshire Liquid Alternatives Index, 30% Barclays US Aggregate Bond Index, and 3% FTSE 3-Month T-Bill Index.

The primary long-term financial objective is to preserve the real (i.e. inflation-adjusted) purchasing power of the endowment. This objective should be achieved over a rolling 3–5-year periods on a total return basis. An additional objective is to provide a relatively predictable, stable and (in real terms) constant stream of current income for annual grant making and operating needs.

III. SPENDING POLICY

The Spending Rate Policy establishes the distributable amount from any endowed fund for grantmaking purposes ("the current spending rate"), which is based upon a percentage of the average fair market value of each fund, net of fees, over the prior sixteen rolling quarters (the "average fund value"). Funds fully invested less than 16-quarters, but more than 3 quarters are also covered by this policy. The Financial Management Committee reviews and recommends the spendable rate annually in the fourth quarter. Distributions may be made from principal in accordance with Washington State law, unless otherwise stipulated by an individual fund agreement.

A record of the spendable rates for grantmaking approved by the Board of Directors will be maintained as part of this policy.

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Annual Grantmaking Spending Rate History:

Year	Spending Rate	Year	Spending Rate
2006	4.50%	2014	4.00%
2007	4.00%	2015	4.00%
2008	4.00%	2016	4.00%
2009	4.00%	2017	4.00%
2010	4.00%	2018	4.00%
2011	4.00%	2019	4.00%
2012	4.00%	2020	4.00%
2013	4.00%	2021	4.00%

IV. PORTFOLIO COMPOSITION AND ASSET ALLOCATION

Asset Allocation

The long-term target asset allocation for the investment portfolio will be recommended by the Investment Advisor and approved by the investment committee of the Foundation to facilitate the achievement of the long-term investment objectives within the established risk parameters. Since the allocation of funds among asset classes may be the single most important determinant of the investment performance over the long run, the assets shall be divided into the following asset classes:

Asset Class	Minimum	Maximum
Total Equities	55%	80%
<i>Domestic Equities</i>	30%	80%
<i>International Equities</i>	5%	30%
Fixed Income	15%	45%
Alternatives	5%	20%
Cash Equivalents	0%	30%

The Foundation recognizes the need for alternative investment pool options and offers two additional pools, Socially Responsible Investing and Conservative Balanced, outlined in the Appendices below.

Fixed Income

The purpose of the fixed income allocation is to provide current income, to provide a stable component of return and to reduce the overall volatility of the Fund.

The percentage of assets allocated to fixed incomes should be sufficient to ensure that neither the current income nor the principal value of the allocation declines by an intolerable amount during a period of extended deflation. The fixed income allocation should normally represent approximately 30% of the total assets at market value.

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Although the actual percentage will fluctuate with market conditions, levels of less than 15% and greater than 45% will require authorization by the Committee.

The fixed income's performance shall be evaluated relative to the performance of the managers Barclay's Capital Aggregate Bond Index. It is expected that this asset class outperform the index on an after fees basis over a market cycle of 3-5 years.

Equities

The purpose of the equity allocation is to provide principal appreciation that exceeds inflation.

The equity component shall represent approximately 70% of the portfolio's current market value - actual percentage levels that vary in excess of 80% or below 55% in equity investments (due to market conditions), shall require authorization by the Committee.

The equity allocation (including domestic stocks, foreign stocks, and equity real estate) is intended to provide long-term capital appreciation and a growing stream of income.

The portfolio will be diversified both by the asset class (e.g., common stocks, bonds, cash) and within asset classes (e.g., within common stocks by economic sector, industry, quality, and market capitalization).

The diversified equity portfolio's performance shall be evaluated relative to the performance of the Standard & Poor's 500 Index (S&P 500) as the primary benchmark. It is expected that this asset class outperform the index on an after fees basis over a market cycle (3-5 years).

Secondary performance benchmarks shall include the MSCI All Country World Index (MSCI ACWI) and the MSCI EAFE Index.

Alternatives

The purpose of the alternative allocation is to invest in assets with low correlation to traditional asset classes. This class includes real estate investment trusts, hedge funds, private equity, real estate and real assets.

The Alternatives Asset Class actual percentage levels that vary in excess of 20% or below 5%, shall require authorization by the Committee.

Cash Equivalents/Liquidity

The percentage of total assets allocated to cash equivalents should be sufficient to assure enough liquidity to meet any disbursements. Cash equivalents may also be used as an alternative to other investments, when the investment advisor or manager feels that other asset classes carry higher than normal risk. Cash can be strategically deployed if deemed appropriate by the Advisor.

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V. REBALANCING

If an asset class is out of the applicable range at the end of the quarter, that asset class may be rebalanced back to the target weighting. As a general rule, any cash flows in or out of the portfolio may be used to rebalance the total fund in accordance with target asset allocation guidelines.

Total asset allocation of the Foundation's funds, after rebalancing, should be in the ranges defined in Section IV.

VI. INVESTMENT MANAGER AND/OR ADVISOR

The Committee shall provide each investment manager/advisor with a set of guidelines. Within such guidelines and the usual standards of fiduciary prudence, the investment manager/advisor will then have complete discretion over the funds.

A donor may be allowed to select their own investment manager generally with a minimum donation of \$1,000,000.00.

All investment managers/advisors, including a donor's investment manager, agree to be subject to and to adhere to the Foundation's Investment Policy.

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Manager Guidelines – All Asset Categories

Mutual funds, commingled funds, or limited partnerships may be used in any category. When one is selected, however, it is expected that the fund will, in general, comply with the Guidelines stated for each asset category. Mutual funds registered with the Securities and Exchange Commission (SEC) may be purchased without prior Committee approval. However, no commingled fund or limited partnership may be used without prior approval of the Committee.

Fixed Income Guidelines

- Fixed income securities may be comprised of money market instruments, U.S. Treasury Bonds, Federal Agency Obligations, Municipal Bonds, corporate bonds, mortgage-backed securities, asset backed securities, and foreign government and corporate securities.
- Individual fixed income managers (excluding mutual funds) will maintain average portfolio duration between 60% and 140% of the duration of the Merrill Lynch Government Corporate Bond Index.
- Individual fixed income managers (excluding mutual funds) will maintain an average portfolio quality of A/A2 or better as measured by Standard & Poor's/Moody's.
- At a minimum, 70% of the fixed income portfolio will be rated investment grade or higher (BBB- by S&P or Baa3 by Moody's).

Domestic Equity Guidelines

- Subject to limitations noted below, Investment Managers may invest in equity securities listed on the principal U.S. exchanges or traded in the over-the-counter markets, including American Depositary Receipts ("ADRs").
- Convertible securities will be regarded as equity securities within the portfolio.
- No individual equity commitment in a Manager's portfolio (excepting mutual fund shares) should exceed 8% of the market value of the portfolio.
- No individual equity commitment in a Manager's portfolio should exceed 5% of the issuer's outstanding equity securities.
- Equity portfolios will be diversified across sector and industries. Investment in a single economic sector can be no more than two times the weight of the economic sector of their specific benchmark or 10%, whichever is greater.

International Equity:

If a separately managed portfolio is selected for the international equity allocation, the following guidelines will apply. If a commingled or mutual fund is selected as the investment vehicle for international equities, the portfolio guidelines in the fund prospectus should generally comply with the overall nature of the restrictions listed below.

- An individual issue should be limited to no more than 5% of the market value of the Manager's portfolio.
- No individual equity commitment in a Manager's portfolio should exceed 5% of the issuer's outstanding equity securities.
- International Equity portfolios will be diversified across countries & sectors.

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Prohibited Transactions

No assets shall be invested in private placement, letter stock, options, futures contracts, or other derivatives without approval of the committee. Short selling and the use of leverage are also prohibited without prior approval of the committee.

VII. SUITABLE INVESTMENTS

The use of an investment instrument is at the discretion of the investment manager with the following constraints:

- High-yield (junk) fixed income securities shall be limited to 10% of the total portfolio's market value.
- Money market securities should be rated A1/P1.
- No more than 10% of the portfolios to be invested in any one non-U.S. Treasury or Agency Issue.
- Investments in foreign-based companies should represent no more than 40% of the portfolio.

VIII. REVIEW MEETINGS

All investment advisors and/or managers shall be subject to review by the Committee on a quarterly basis. Investment advisors and/or managers must meet at least annually with the Committee to review their investment strategy and performance.

Investment managers will provide performance reports quarterly. If, at any time any investment manager believes that any policy or guideline inhibits their investment performance, it is their responsibility to communicate this view to the Committee.

Fee structure, consulting services, custodial services, proxy voting policies, socially conscious investment policies, and other important aspects of the Foundation's relationship with its investment managers will be subject to periodic review.

Investment Advisor or Manager Termination

The acceptance of an investment manager/advisor (including a donor's investment manager or advisor) to provide financial services to the Foundation does not constitute or imply any contractual relationship between the parties. The investment manager/advisor understands and agrees that the Foundation may terminate their services at any time with or without cause.

In the event any investment manager/advisor resigns or is terminated, the Committee shall select a new manager/advisor.

At the discretion of the Committee, an investment manager/advisor may be subject to probation in lieu of termination.

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Appendix I – Socially Responsible Investing

A Socially Responsible Investing (SRI) portfolio is available for donors looking to invest in companies that operate in alignment with their values and have a strong focus on environmental, social, and governance (ESG) issues. SRI assets focus on investing in companies that have a demonstrated ability to manage their ESG risks and opportunities.

A minimum gift of \$10,000 is required to invest in the SRI portfolio, which is managed by following the SRI methodology similar to the MSCI Global Socially Responsible Indexes. The SRI portfolio otherwise follows the general investment guidelines outlined in this document. SRI strategies are used where available and prudent, which may not cover all asset classes and investment types.

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Appendix II – Conservative Balanced

The Conservative Balanced investment pool option may provide less risk exposure, especially for non-endowed funds that will be spent down on a shorter time horizon.

The assets shall be divided into the following asset classes:

Asset Class	Min	Max
Equities	20%	35%
Fixed Income	40%	75%
Alternatives	5%	20%
Cash	0%	30%